# Cascadia Public Employees' Retirement System

# Performance Measurement Report

Fourth Quarter 2025

Prepared by Vectera Advisors

Trade Secret & Confidential

# Portfolio Overview

Cascadia Public Employees' Retirement System ("CPERS") retained Vectera Advisors ("Vectera") as investment manager to invest and manage its real estate portfolio in 2001, and awarded Vectera discretion over the Program in 2011. Since inception, approximately $0.46 billion has been committed or approved for commitment across 14 individual investment positions — 12 funded and carried in the flash, plus 2 approved during the Quarter that had not closed by Quarter-end. The funded investments have generated a since-inception net IRR of 9.3% and a 1.45x net equity multiple.

CPERS has allocated 10.0% of total plan assets to real estate, with an allowable range of 5–20%. At Quarter-end the Portfolio's net asset value was $0.44 billion, which is **8.8% of the $4.96 billion total plan** and **88.0% of the $0.50 billion target real estate allocation**. The Portfolio returned 1.28% net of all fees during the Quarter and 5.46% net over the trailing one-year period, against 0.70% and 2.66% for the CPERS Custom Benchmark.

## Investment Guidelines & Fund Statistics

| Statistic | Value |
|---|---|
| Funded investments | 12 |
| Approved, not yet closed | 2 |
| Total committed or approved | $456.8M |
| Of which funded | $391.8M |
| Market value (NAV) | $436.1M |
| Real estate as % of total plan assets | 8.8% |
| NAV as % of target allocation | 88.0% |
| Strategic / Tactical split | 85.0% / 15.0% |
| Since-inception net IRR | 9.3% |
| Since-inception equity multiple | 1.45x |

## Portfolio Managers

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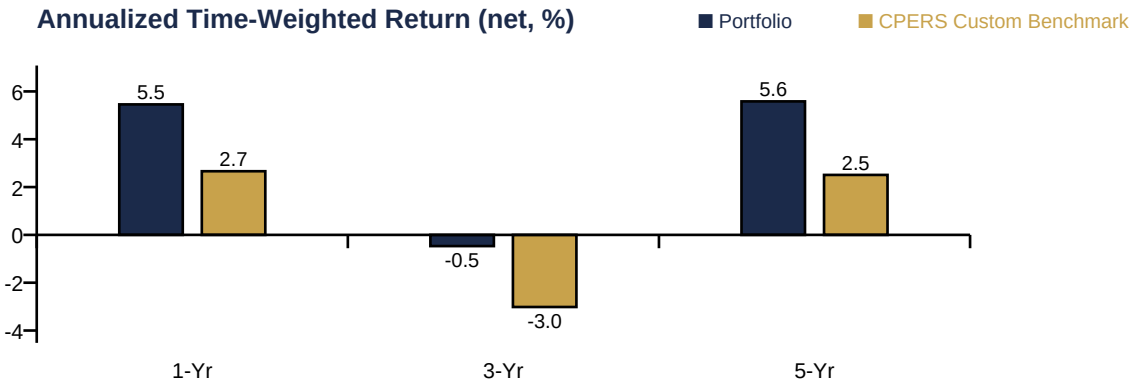
# Annualized Time-Weighted Return




The Portfolio outperformed the CPERS Custom Benchmark across the one-, three- and five-year horizons shown above.

# Performance Update

The Portfolio generated approximately $3.3M of gross income and $3.3M of appreciation during the Quarter, resulting in a total gross return of 1.52% (1.28% net of all fees). The NAV of the Portfolio was $0.44 billion at Quarter-end.

### Attribution — Quarterly Dollar Contribution

| Fund | Role | Income | Apprec. | Fees | Contribution |
|---|---|---|---|---|---|
| Redwood Logistics Trust | Largest contributor and second-largest individual position | 346,623 | 1,081,768 | 61,356 | 1,367,036 |
| Ironwood Value-Add Fund III | Second-largest contributor | 125,530 | 942,909 | 32,150 | 1,036,289 |
| Meridian Opportunity Fund V | Largest detractor | (31,854) | (468,730) | (31,290) | (469,294) |
| Cornerstone Core Property Fund | Second-largest detractor and largest individual position | 534,035 | (557,954) | 163,257 | (187,176) |

**Redwood Logistics Trust** was the Portfolio's largest contributor to performance during the Quarter, adding $1,367,036, and is also its second-largest individual position at $51.9M. **Ironwood Value-Add Fund III** was the second-largest contributor at $1,036,289 — note that it posted the highest percentage return in the Program (10.22%) on a small base, which is why it ranks second by dollars rather than first. **Meridian Opportunity Fund V** was the largest detractor at -$469,294, and **Cornerstone Core Property Fund** the second-largest at -$187,176; Cornerstone Core Property Fund is also the Portfolio's largest individual position at $54.4M. Only two investments made a negative dollar contribution during the Quarter.

# Strategic Portfolio

The Strategic Portfolio represented approximately 85.0% of the Portfolio's market value at Quarter-end and generated a 1.16% net return during the Quarter.

**Cornerstone Core Property Fund** was the Portfolio's second-largest detractor and largest individual position. The Fund returned -0.34% net during the Quarter and contributed -$187,176, with a market value of $54.4M and 28.2% LTV.

Three assets shaped the quarter. One Financial Plaza (Chicago office) was written down on lower submarket comparables and a near-term lease expiry. Bayfront Apartments (San Diego) was held roughly flat as concessions offset rent growth. Prairie Logistics (Kansas City) contributed positively, partially offsetting the office drag. Leverage was conservative at ~28% LTV.

Beacon Diversified Property Trust returned 1.12% net during the Quarter, with a market value of $41.9M and 28.0% LTV.

Summit Multifamily Partners returned 1.22% net during the Quarter, with a market value of $48.6M and 22.2% LTV.

Whitfield Diversified Property Fund returned 1.04% net during the Quarter, with a market value of $30.8M and 50.0% LTV.

Silverline Core-Plus Fund returned 0.75% net during the Quarter, with a market value of $50.2M and 49.3% LTV.

Kestrel U.S. Real Estate Fund returned 1.66% net during the Quarter, with a market value of $49.7M and 25.3% LTV.

**Redwood Logistics Trust** was the Portfolio's largest contributor and second-largest individual position. The Fund returned 2.69% net during the Quarter and contributed $1,367,036, with a market value of $51.9M and 31.1% LTV.

Three assets drove the quarter. Gateway Logistics Center (Dallas) was marked up following the completion of lease-up to 97% occupancy at rents ahead of underwriting. Harbor 40 Distribution (Savannah) appreciated modestly on a new 10-year lease to an investment-grade tenant. Cedar Ridge Infill (Inland Empire) was held flat pending a planned expansion. Leverage remained conservative at approximately 31% loan-to-value.

Harborview Industrial Fund returned 1.31% net during the Quarter, with a market value of $43.3M and 44.5% LTV.

# Tactical and Special Situations Portfolio

The Tactical and Special Situations Portfolio represented approximately 15.0% of the Portfolio's market value at Quarter-end and generated a 2.02% net return during the Quarter.

Tidewater Distressed Realty Fund is substantially wound down, with a residual market value of $0.1M. The flash reports no quarterly return for the Fund, and none is shown here.

**Ironwood Value-Add Fund III** was the Portfolio's second-largest contributor. The Fund returned 10.22% net during the Quarter and contributed $1,036,289, with a market value of $11.1M and 0.0% LTV.

Two assets drove the result. Eastgate Industrial (Phoenix) reached stabilized occupancy and was marked up materially. Northline Logistics (Nashville) appreciated on completion of a build-to-suit. The Fund is unlevered at the fund level.

**Meridian Opportunity Fund V** was the Portfolio's largest detractor. The Fund returned -1.53% net during the Quarter and contributed -$469,294, with a market value of $30.2M and 42.2% LTV.

*No manager report was supplied for this Fund for the Quarter. Commentary is therefore limited to the flash-derived role, market value, return and dollar contribution above; no asset-level drivers are reported, and this gap has been flagged for reviewer confirmation before finalization.*

Blackford Special Situations Fund II returned 3.13% net during the Quarter, with a market value of $23.8M and 49.7% LTV.

# Recent Investment Activity

During the Quarter the Investment Committee approved 2 new commitments for CPERS. Neither had closed or funded by Quarter-end; accordingly they are reflected here as new investment activity rather than in funded holdings or performance, and no market value or return is reported for either.

### Northgate Logistics Partners — $40.0M, approved 14 October 2025

Northgate Logistics Partners is a value-add industrial fund targeting the acquisition and repositioning of infill logistics and outdoor-storage assets in high-growth Sun Belt and Mountain-West markets. The strategy focuses on lease-up, mark-to-market of below-market rents, and selective development completion.

### Ridgeline Value Fund IV — $25.0M, approved 18 November 2025

Ridgeline Value Fund IV is the fourth vintage in Ridgeline Capital's diversified value-add series, targeting the acquisition and repositioning of multifamily and mixed-use assets in supply-constrained coastal and Mountain-West metros. The strategy emphasizes operational improvement, unit renovation, and mark-to-market of below-market rents, with selective ground-up completion.

Two commitments approved in the prior Quarter did not proceed. The USD 25.0 million commitment to Alder Creek Multifamily Fund III, approved in August, was withdrawn during the Quarter after the Fund closed at its hard cap without an allocation to the Program. The USD 30.0 million commitment to Sentinel Logistics Income Fund, approved in September, lapsed unexercised on 30 November 2025 and is not being renewed. Neither had funded, so neither affects the market value or return of the Portfolio; both are excluded from the committed-or-approved totals stated above.

# Market Update

Vectera's house view is that core values are stabilising following the 2023–2024 repricing. U.S. private real estate funds returned **+1.0%** in the latest quarter and **+3.3%** over the trailing year, against –**2.4%** annualised over three years — the drawdown is now rolling out of the medium-term record. The Portfolio's 1.28% net quarter sits above the market's +1.0%.

Capital markets are repairing. The NPI valuation-weighted cap rate has held broadly stable at **~4.6–4.7%** while the 10-year Treasury held at **~4.2%**, the spread remaining wider than its 2024 trough and restoring part of the real-estate risk premium. In office, transaction cap rates have repriced far above appraisal marks — **~7.7%** against **~5.6%** — which continues to argue for caution on that sector.

Forecast NOI growth over 2026–27 favours residential (**1.4%** p.a.) and industrial (**1.3%**), with office (**0.4%**) and retail (**0.2%**) trailing. Industrial has returned **4.4%** over one year and **10.2%** annualised over five. That positioning is consistent with the Portfolio's largest property exposure, Industrial at 36.2%, and its 23.5% apartment weighting.

*Market figures above are drawn from the house-view deck's exhibits and describe broad market indices (NPI / GREFI-US). They are not the CPERS Custom Benchmark, which is a distinct client-specific series and is the basis for the return-objective test below; the two are related but not interchangeable.*

# Allocation Over Time

| Quarter | Target Allocation ($MM) | Net Asset Value ($MM) |
|---|---|---|
| 1Q24 | 480 | 372 |
| 2Q24 | 482 | 386 |
| 3Q24 | 484 | 397 |
| 4Q24 | 486 | 405 |
| 1Q25 | 489 | 412 |
| 2Q25 | 491 | 424 |
| 3Q25 | 489 | 437 |
| 4Q25 | 496 | 436 |

# Diversification

## Property Type

| Property Type | Apartment | Office | Industrial | Retail | Hotel | Other |
|---|---|---|---|---|---|---|
| Exposure | 23.5% | 7.9% | 36.2% | 8.2% | 1.2% | 23.1% |

## Geography

| Region | Northeast | Mideast | East North Central | West North Central | Southeast | Southwest | Mountain | Pacific | Various-US | Ex-US |
|---|---|---|---|---|---|---|---|---|---|---|
| Exposure | 10.22% | 13.08% | 7.13% | 2.80% | 17.22% | 8.28% | 7.98% | 17.64% | 3.58% | 12.07% |

Look-through Ex-US property exposure is 12.1%. The compliance test below uses the separate fund-level Ex-US classification, 9.6%; the two measure different things — one looks through to where assets sit, the other classifies the vehicle.

## Compliance

| Guideline | Limit | Actual | Status |
|---|---|---|---|
| Style / sector concentration | <=40% per sector | 36.2% (Industrial) | In compliance |
| Location diversification | <=35% Ex-US | 9.6% Ex-US | In compliance |
| Leverage (loan-to-value) | <=50% / 75% | 34.0% strategic / 37.7% tactical | In compliance |
| Return objective | Exceed benchmark | 5.46% vs 2.66% (1-Yr) | In compliance |

Sector concentration is the largest single property-type weighting. Leverage uses the value-weighted loan-to-value subtotals for each sleeve, not an average of individual fund ratios. Ex-US uses the fund-level classification, not the asset-level look-through. The return objective compares the Portfolio's one-year net TWR with the CPERS Custom Benchmark's.

## Disclosure Statements

This Performance Measurement Report has been prepared by Vectera Advisors solely for Cascadia Public Employees' Retirement System and is intended for the exclusive and confidential use of CPERS and its authorized representatives. Performance results are presented net of investment management fees, incentive allocations and fund-level expenses unless otherwise indicated, and reflect the reinvestment of income. Returns for periods of one year or less are not annualized. Time-weighted returns (TWR) are calculated using a Modified Dietz methodology; since-inception internal rates of return (IRR) and equity multiples are money-weighted and reflect the timing and magnitude of capital flows. Market values are based on the most recent valuations reported by underlying fund managers and may reflect appraised rather than transaction values. Past performance is not indicative of future results. All figures in this report are synthetic and were created solely for an evaluation exercise.

# Appendix A: Quarterly Flash Report

The Fourth Quarter 2025 quarterly flash is reproduced as a separate exhibit (flash_4Q25.pdf) and is the source of every portfolio figure in this report.

### Investment Schedule

| Investment | Market Value | % NAV | Qtr Net | Contribution | LTV |
|---|---|---|---|---|---|
| Cornerstone Core Property Fund | $54,424,849 | 12.48% | -0.34% | (187,176) | 28.2% |
| Beacon Diversified Property Trust | $41,870,447 | 9.60% | 1.12% | 466,411 | 28.0% |
| Summit Multifamily Partners | $48,575,998 | 11.14% | 1.22% | 590,244 | 22.2% |
| Whitfield Diversified Property Fund | $30,830,684 | 7.07% | 1.04% | 320,082 | 50.0% |
| Silverline Core-Plus Fund | $50,199,121 | 11.51% | 0.75% | 373,689 | 49.3% |
| Kestrel U.S. Real Estate Fund | $49,729,238 | 11.40% | 1.66% | 813,393 | 25.3% |
| Redwood Logistics Trust | $51,915,756 | 11.90% | 2.69% | 1,367,036 | 31.1% |
| Harborview Industrial Fund | $43,274,370 | 9.92% | 1.31% | 563,015 | 44.5% |
| Tidewater Distressed Realty Fund | $112,620 | 0.03% | n/a | 2,538 | 0.0% |
| Ironwood Value-Add Fund III | $11,103,969 | 2.55% | 10.22% | 1,036,289 | 0.0% |
| Meridian Opportunity Fund V | $30,237,150 | 6.93% | -1.53% | (469,294) | 42.2% |
| Blackford Special Situations Fund II | $23,841,867 | 5.47% | 3.13% | 733,640 | 49.7% |
| Strategic Investments | $370,820,464 | 85.03% | 1.16% |  | 34.0% |
| Tactical Investments | $65,295,606 | 14.97% | 2.02% |  | 37.7% |
| Vectera Initiated Investments | $436,116,069 | 100.00% | 1.28% |  |  |